

Polymarket SPY

Directional Signal Strategy

Using Prediction Markets to Trade the S&P 500

April 24, 2026

Polymarket — SPY Up or Down?

A **daily binary market** that resolves YES if the official SPY close (Pyth Network price feed) is *higher* than the previous trading day's close.

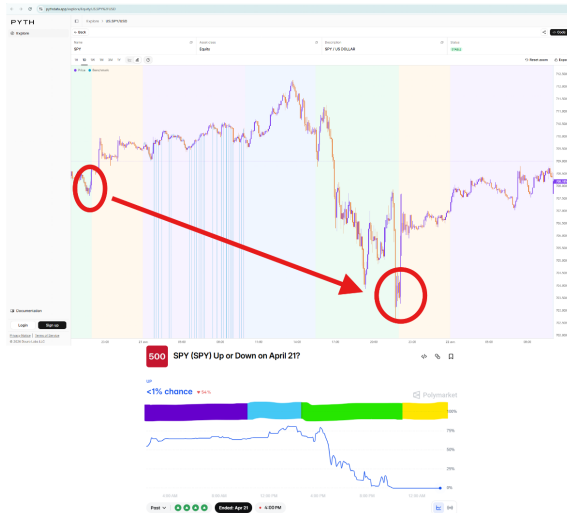
Key mechanics

- New contract every trading day
- Two outcome tokens: Up / Down

Settlement

- Price source: **Pyth Network** oracle
- Market opens: 09:30 ET (15:30 FR)
- Resolved at NYSE close: 16:00 ET (22:00 FR)
- Trading window: 6.5 hours of liquidity

Example — April 21, 2026



Strategy Ideas

1 · Base rate: SPY almost always goes up

- Check historical **win rate** of daily Up moves
- Measure average gain on up days vs. average loss on down days
- Apply **Kelly criterion** (2 outcomes with expected returns and a probability)

2 · Hedging with SPY

- Buy Up token on Polymarket + short SPY ETF (or vice-versa)
- Delta-neutral position: profit from mispricing

3 · Predict SPY direction from $P(\text{Up})$

- Use Polymarket probability as a real-time signal: $\text{signal} = 2P(\text{Up}) - 1$